

Fearnleys Tanker Market Wrap-up Nov-Dec 2025

Dec 12, 2025

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A potent set-up near-term, then the newbuilds come

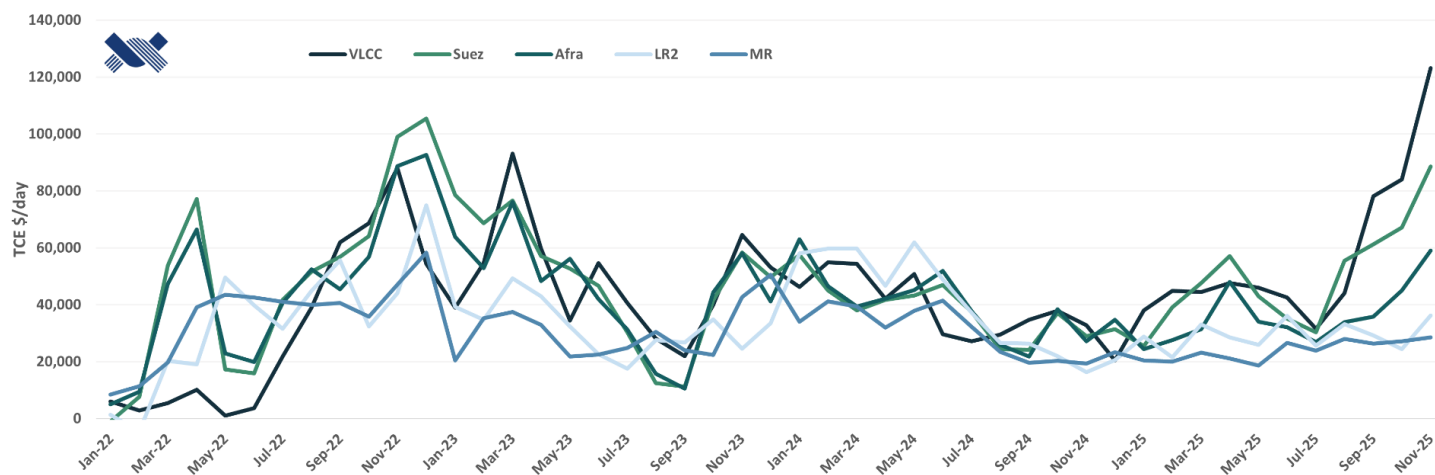
Summary and outlook

After a strong end to the year, exceeding even our bull case scenario (who would have thought the way things looked a year ago, huh?) we may also be in for a stronger start to 2026 than we had earlier thought. Still, higher fleet growth and lower demand growth likely means a sliding rate trajectory through the year. There are, however, some potential triggers that may keep rates elevated.

Below we outline three scenarios for next year, where our base case is unchanged as stronger demand going into the year is likely to be gradually offset by higher fleet growth than we had earlier thought too.

By the end of 2027 the equivalent of more than 12% of the current fleet is scheduled to be delivered. It will take a lot for demand to grow anywhere near that much, and meaningful phase-out may take some time to emerge. Hence, we expect a much softer market in 2027.

Tanker rates 2022-25



Source: Fearnleys, Baltic Exchange

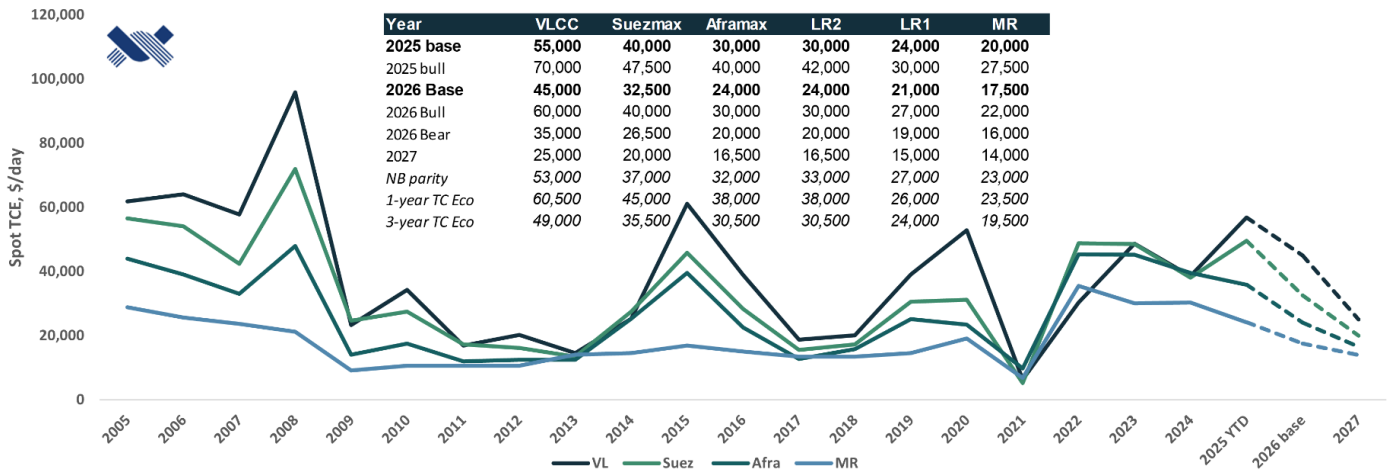
2026 scenarios

Base case: Some continued oil production growth: 0.5-1 mbpd, most of which into the second half, and there is little need for the OPEC+ to further unwind production cuts. An oversupplied oil market can contribute to long-haul demand in the first half as contango supports economics - which could give a short-term spike for rates. However, eventual inventory builds in the West may drag. Fleet growth may rise to 4-5%. Strong start to the year, but a downward rate trajectory thereafter due to building fleet growth.

Bull case: If oil demand surprises materially to the upside the OPEC+ can keep unwinding its production cuts, and U.S. production growth may continue. Further ship sanctions may give more compliant ship exit into the shadow market. Similarly, further sanctions on (Chinese) oil infrastructure or secondary sanctions could give further congestion. The most bullish (yet not very likely) scenario is one where Iran sanctions are lifted.

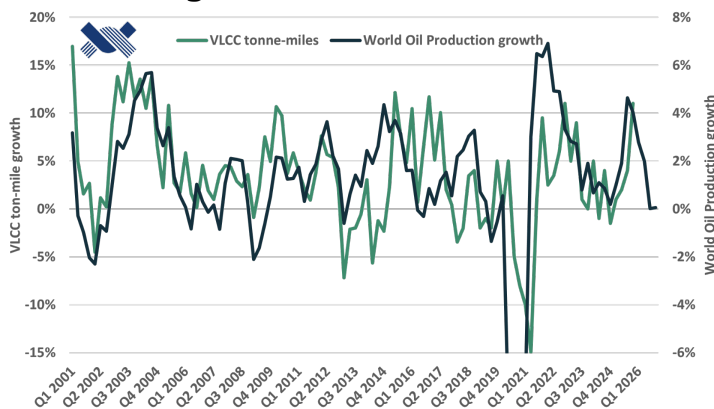
Bear case: weaker than expected oil demand growth could send oil prices materially lower, so that the OPEC+ may need to cut production again and U.S. production declines. Even in a bear scenario there may initially not be a lot of phase-out, as rates should not plunge too far and alternative employment opportunities persist.

Historical rates and forecast

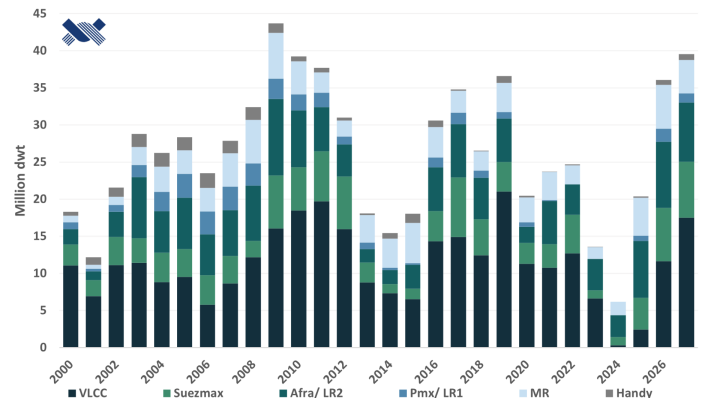


2026+27 forecasts: VLCC basis TD3c, Suez and Aframax basis Baltic averages, LR2 basis TC1, LR2 basis TC2 and MR basis average Atlantic and Pacific averages

Global oil supply growth vs. tanker tonne-mile growth



Tanker deliveries

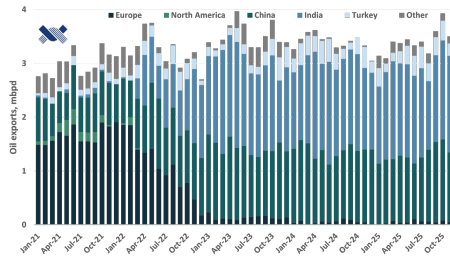


Source: EIA, Fearnleys, Vortexa

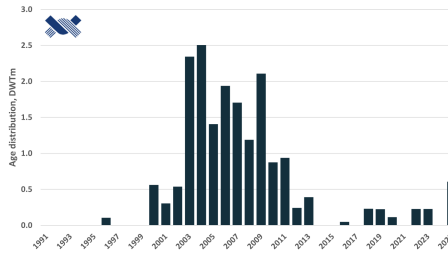
Russia can contribute to both up- and downside risk. If sanctions are more stringently enforced more floating storage of Russian oil may be necessary and buyers may need to replace with barrels from further away, which can give upside risk. Similarly, continued Ukrainian attacks on sanctioned tankers coupled with a potential EU ban on shipping services for Russian oil could give a need to increase the shadow fleet - further reducing the amount of compliant tankers. However, if sanctions are lifted or Russian production is materially cut, that can give downside risk. There are several sub-scenarios and nuances between the various tanker segments. However, experience so far shows there may be little change from the status quo...

Similarly, China can continue building inventories which could give some incremental demand pull for tankers. After building an estimated 125 mb of new storage capacity this year, another 150 mb is expected to be built next year - nearly 0.5 mbpd of additional import potential.

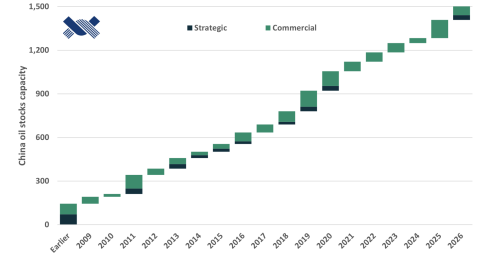
Russia crude oil exports by destination



Russia related OFAC sanctioned ships



China inventory capacity additions



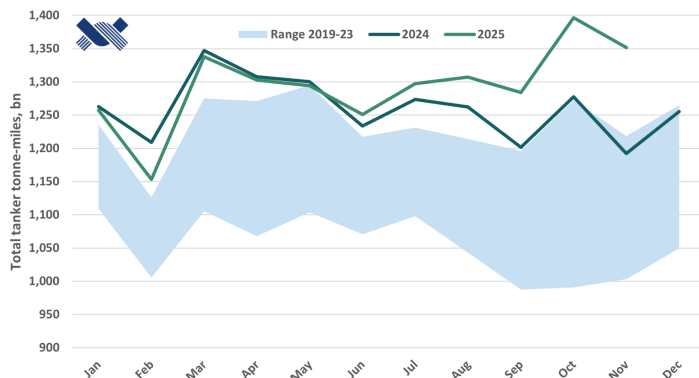
Source: Vortexa, OFAC, Argus

Strong tanker demand and congestion is a potent mix for rates

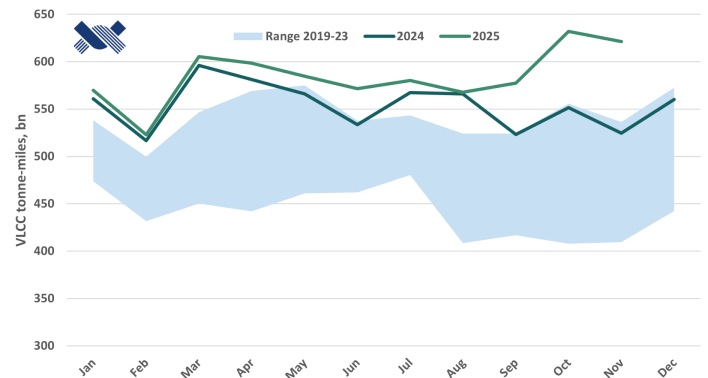
Coupled with congestion and large parts of the fleet still being tied up in long-haul shipments or floating storage at the moment, elevated demand sets the market up for continued volatility at high levels near-term.

November tonne-miles dipped a bit vs. the all-time-highs in October, on slightly less long-haul flows and slightly lower seaborne (crude) volumes. It remains elevated, however, and is likely to continue to do so although there may be some seasonal downside in coming months. Americas supply typically dips a bit in end-Q4 and Q1, although parts of that may be offset by refinery maintenance toward the end of Q1 which frees up more crude for exports.

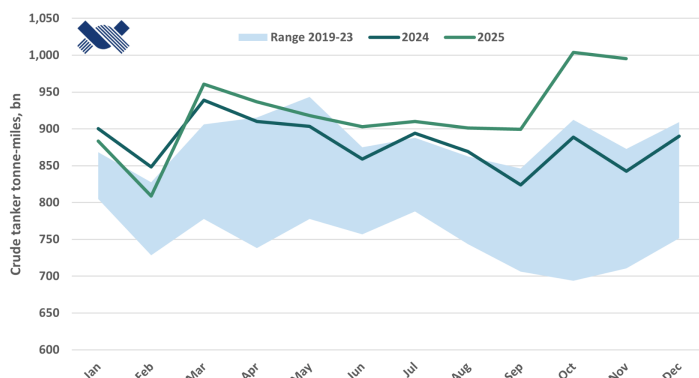
Total tanker tonne-miles (excl. OFAC) +2.6% YTD



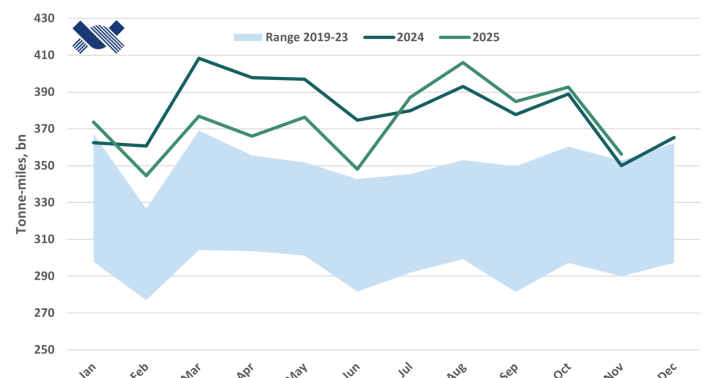
VLCC tonne-miles (excl. OFAC) +5.7% YTD



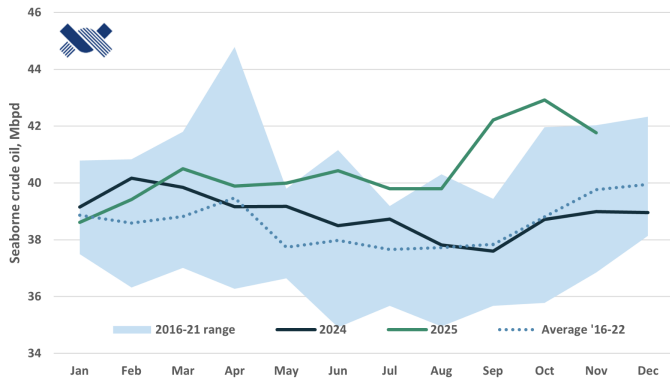
Crude tanker tonne-miles (excl. OFAC) +4.6% YTD



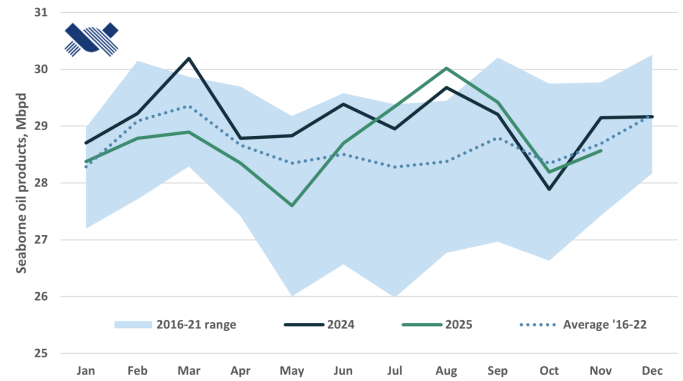
Product tanker tonne-miles (excl. OFAC) -1.9% YTD



Seaborne crude volumes (excl. Iran & Venezuela)



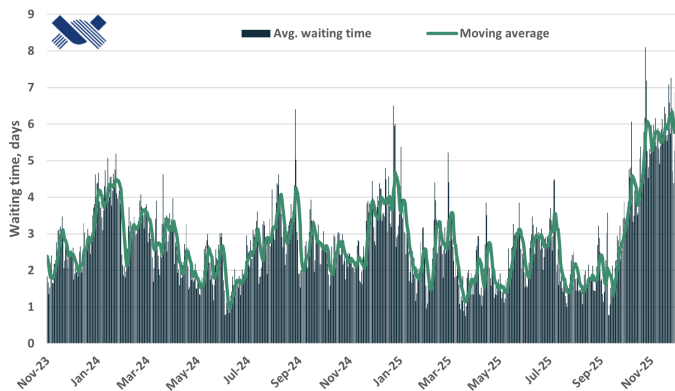
Seaborne products volumes (excl. Iran & Venezuela)



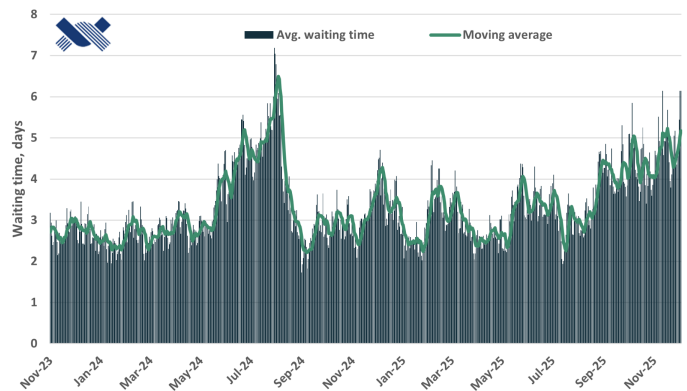
Source: Vortexa, OFAC, Fearnleys

One of the primary drivers for the latest and strongest leg up for rates has been congestion. This has in large part been driven by sanctions on terminals and oil infrastructure in China, delaying discharges, as well as bad weather. Average waiting time in the Far East for VLCC has more than doubled over the last months, and waiting time for Suezmaxes globally has nearly doubled since the summer. Additional import quotas for Chinese independent refiners and persistent bad weather may give continued congestion in the Far East near-term, but over the next few months an unwind may eventually become a headwind for tanker rates.

VLCC waiting time, Far East



Suezmax waiting time, global



Source: Vortexa

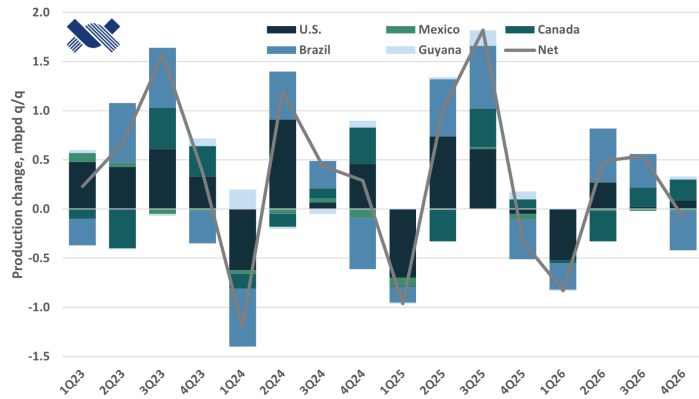
Supportive oil market, but is it enough?

Next year, volumes may grow at a substantially slower pace than this year. Energy agencies expect non-OPEC+ production growth of about 0.5 mbd (vs. 1.8 mbd this year) and a significantly oversupplied oil market. Hence, it is questionable whether the OPEC+ will resume production cut unwinds after Q1. Even if it does unwind the rest of the current 1.65 mbd cut tranche, that may in reality only give about 0.5 mbd real upside (vs. 2.1 mbd growth this year). Only Saudi Arabia, Oman and Kuwait have spare capacity and upside to quotas, while others already produce well above targets. Russia does have upside to its target, but potential looks limited near-term - Urals discounts of \$20/bbl or more suggests enough of a struggle to clear current production, although sanctions workarounds are likely.

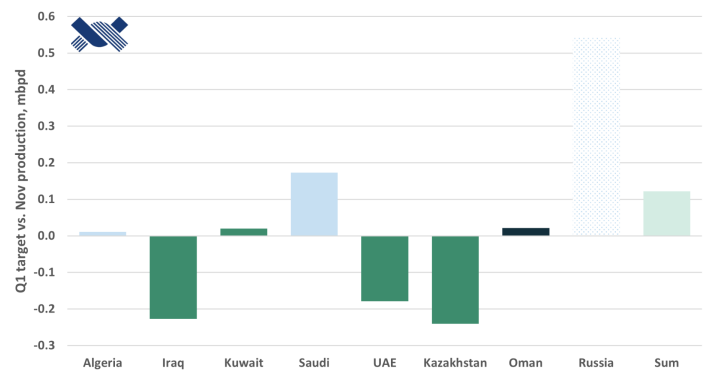
There are fewer new production projects scheduled to come onstream the next few years, which means that if oil demand keeps growing at recent pace (which may be much stronger than the IEA's estimates), the OPEC's spare capacity may

eventually be tested. When that is closer to fully utilised, potentially already in 2027, current storage build-ups may have to be (partly) drawn again.

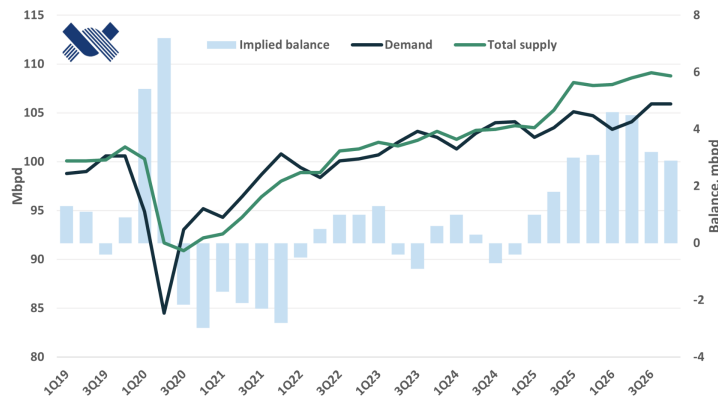
Non-OPEC+ quarterly production growth



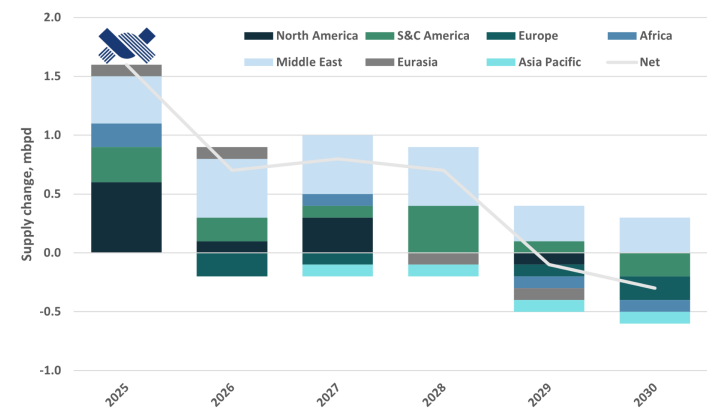
OPEC+ production vs. quotas



IEA oil market balance



IEA oil production growth 2024-30



Source: EIA, IEA

There are conflicting signs from the oil market about balances. Oil pricing does not indicate oversupply, with the Brent forward curve having been in backwardation nearly all year, apart from a small blip into contango a month and a half ago. That, along with strong refinery margins suggests that oil demand is much stronger than the IEA's forecasts. In the U.S. alone demand looks to be about 150 kbpd stronger than the IEA's estimates imply and there is strength elsewhere too.

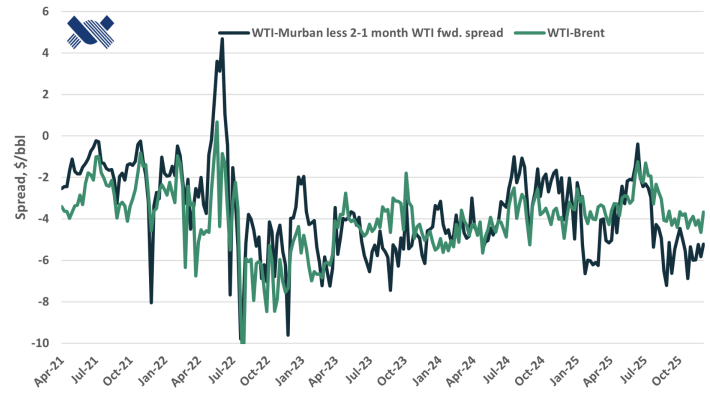
On the other hand, lowered OSPs from Middle Eastern producers and a West-East arbitrage which has now closed again do not imply an urgent demand pull, but rather abundant supply. WTI, as a marginal barrel, is currently not very well priced into either Europe or Asia, which could become a bit of a drag on tanker demand unless the WTI price drops going forward. Similarly, West African crude has struggled to clear, and a build-up of floating storage of sanctioned barrels suggest a glut.

Brent 7-1 month forward spread



Source: Bloomberg

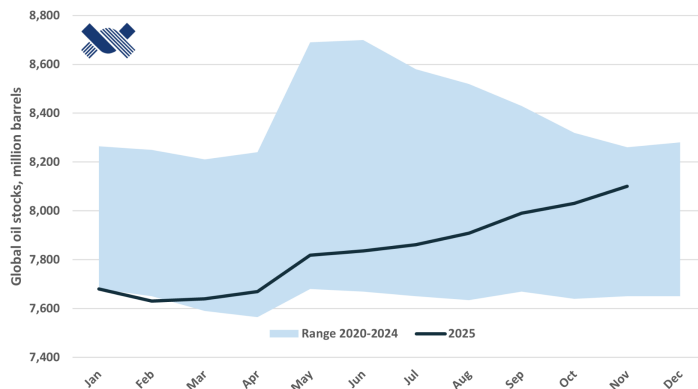
Relative oil pricing



Global inventories have built by about 1.4 mbpd YTD. There are not many periods historically when there have been this meaningful builds - especially if sustained (and more) into next year. A big portion of the YTD build is oil on the water (which ties up tonnage). A lot of that is sanctioned barrels, but also some compliant in long haul shipments from the last few months. Eventually, that is likely to hit either onshore storages or refineries and is real oversupply.

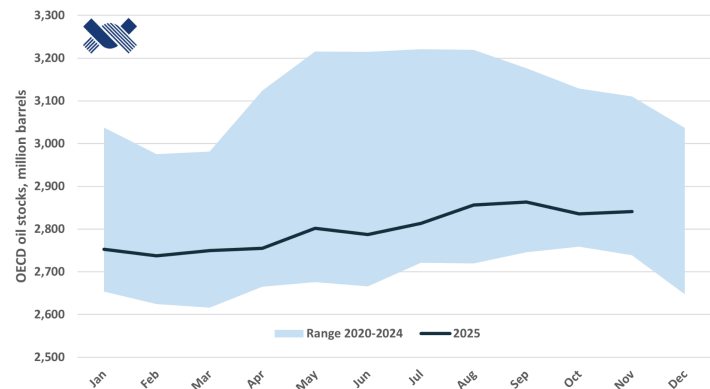
OECD stocks have built less than the rest of the world. Going forward WTI (and other Atlantic grades) pricing may need to drop, otherwise there could be bigger builds also there, which may to a greater extent affect oil pricing due to greater visibility. If that causes steeper contango, it could support higher tanker demand for a while, although there then usually comes a 'hangover' after. If such a contango scenario coincides with some Q1 demand strength it could give another solid run for rates.

Global observed inventories



Source: IEA

OECD industry stocks

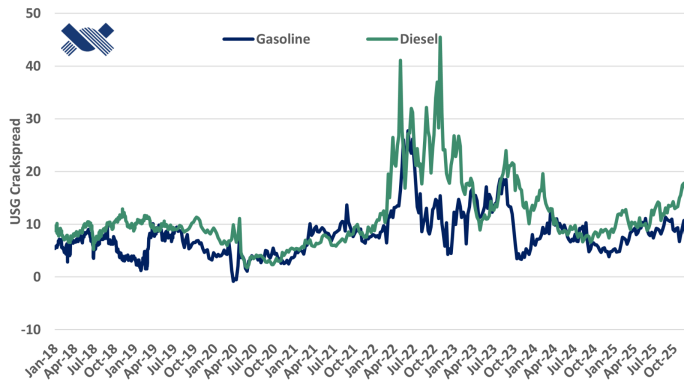


Refinery margins remain well above normal, driven by strong demand, elevated maintenance and some outages. As runs have recovered post maintenance now, and run estimates for next year are revised higher, margins have come off from the peaks, other than in China.

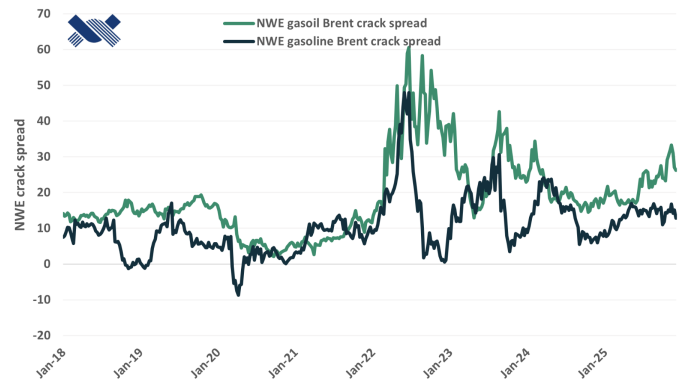
Global refinery runs are close to maximum utilisation, apart from in China and Russia. The former cannot increase runs materially unless the government allow so, and the latter cannot because Ukrainian attacks do not allow so.

Next year, about 1 mbpd of new refining capacity is expected, in China, India and the Middle East. That is on paper not enough to absorb the current oversupply of crude, let alone allow for further OPEC+ increases. Thus, the latter is questionable.

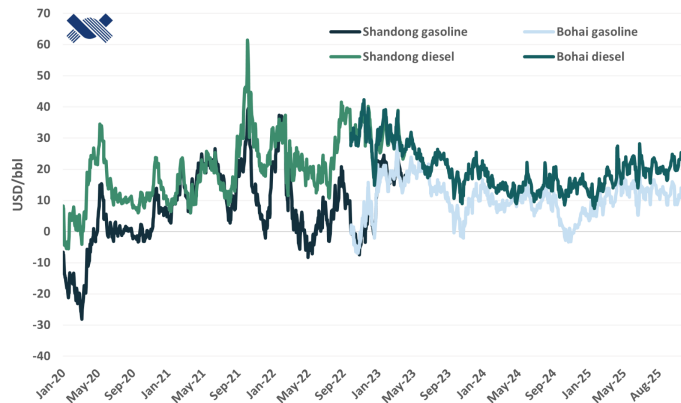
U.S. Gulf Coast crack spreads



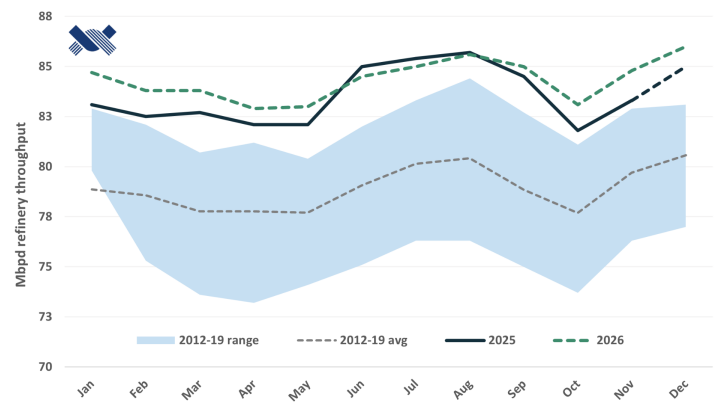
NorthWest Europe crack spreads



Bohai Bay crack spreads



Global refinery runs



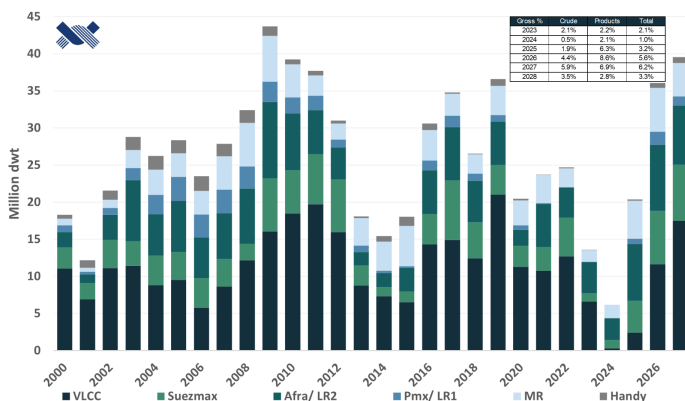
Source: EIA, Bloomberg, Argus, IEA

(Too) High fleet growth to come

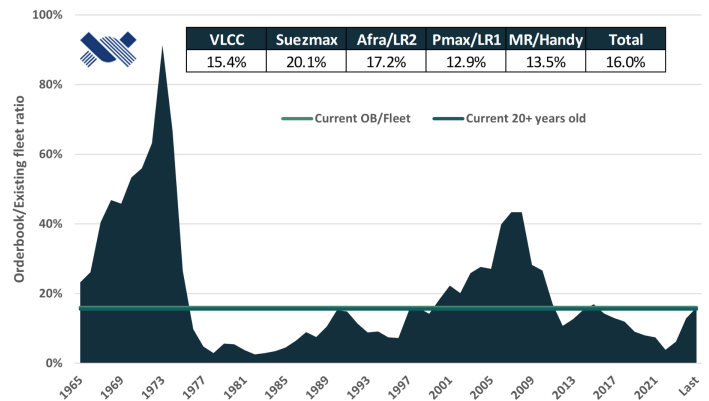
The tanker fleet has grown by 2% YTD, with another 0.6% scheduled through the remainder of the year, although most of that may slide into 2026. That means gross scheduled deliveries for 2026 will be about 6%. With elevated rates and most of what would already be phase-out candidates having migrated to the shadow markets, phase-out should remain low. That means net fleet growth could be 4-5% next year. Scheduled deliveries for 2027 are even higher, although by then some more compliant vessels may become eligible for phase-out.

The orderbook to fleet ratio has grown to 16%, but including reported orders which have not yet been officially confirmed it could be at about 18%, if not more.

Annual tanker deliveries



Orderbook to fleet

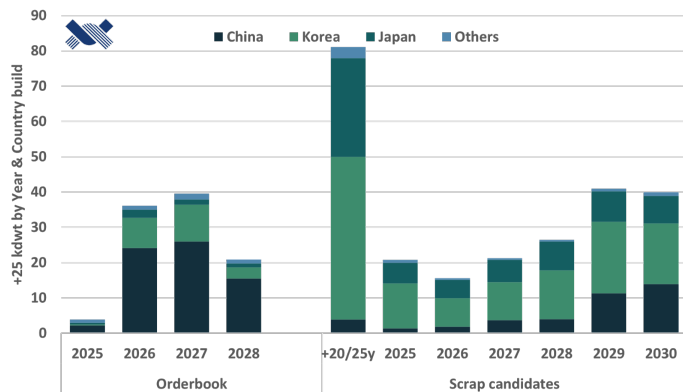


Source: Fearnleys

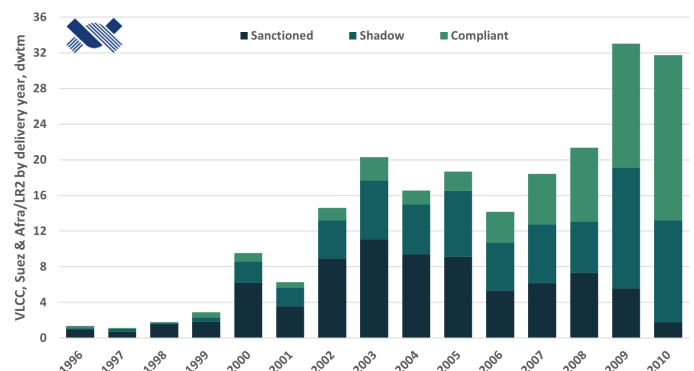
While phase-out potential is vast, it may take a while before scrapping materially picks up. Most of what would otherwise be phase-out candidates is already semi-phased out of the compliant market. Sanctions could tilt the picture, depending on what happens next. With the EU considering a ban on maritime services for Russian oil shipments, Ukrainian attacks on sanctioned Suezmaxes, the U.S. seizing a sanctioned VLCC off Venezuela etc. there may be a greater urgency to increase the shadow fleet, which could tighten the compliant fleet.

In a steady state scenario, however, rates need to soften substantially before there is any meaningful scrapping. From 2027/28 onwards, when more compliant tankers reach historical average scrap ages, there should be some more potential again - which could set the stage for a market recovery.

Orderbook vs. phase-out



<2010 built VLCC, Suezmax & Aframax/LR2 - mostly shadow



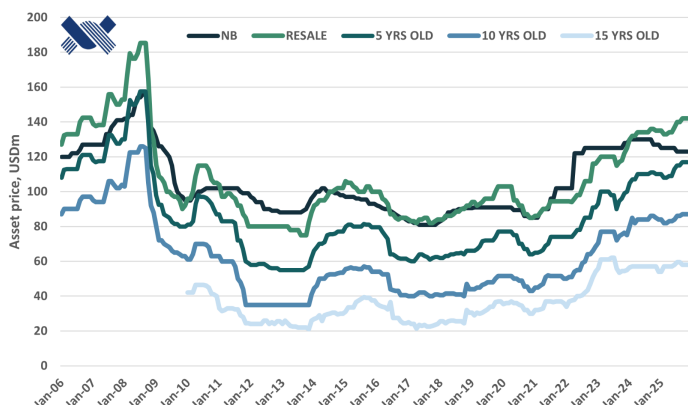
Source: Fearnleys

Asset values well supported currently, downside risk ahead

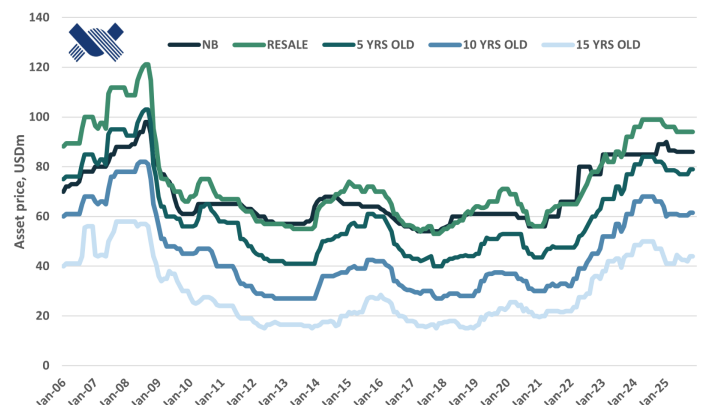
With historically elevated spot and TC rates values have recovered across segments over the last few months. This is well supported as TC rates can derisk high values substantially. Near-term, would-be buyers are forced to lift bids to meet an ever increasing ask from sellers.

Given our market outlook, however, there is downside risk. Newbuild prices may be relatively well supported as order backlogs are comfortable for yards, input prices remain high, and ordering interest in several shipping segments is strong. For secondhand, which is priced 10-20% above the depreciated newbuild price curve, even more so for very modern VLCCs and Suezmaxes, there is bigger downside risk down the line.

VLCC asset values

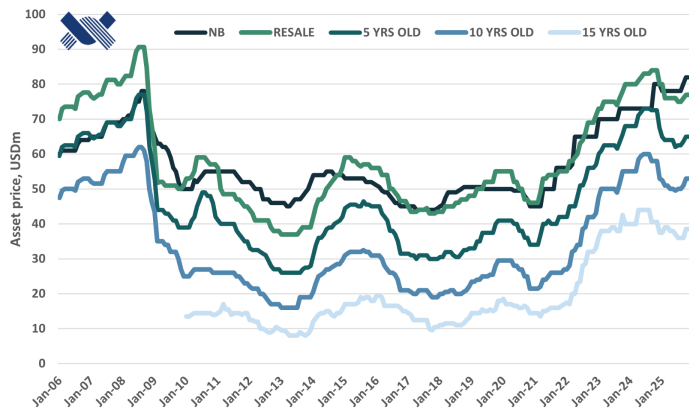


Suezmax asset values

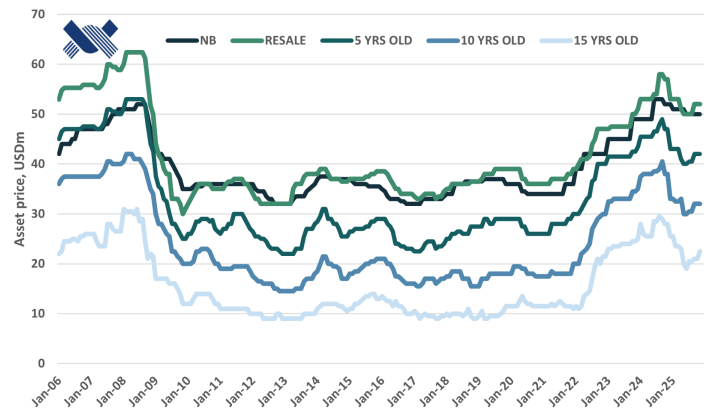




Aframax asset values



MR asset values



Source: Fearnleys



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